

- **Through changes in interest rates.** Interest rate targets are set by the Federal Reserve. These interest rates help determine what it costs to borrow money from your bank, credit card company, or other type of lender, as well as how much interest you're paid (e.g. in a savings account). Banks and lenders can still set their own specific rates, which is why you will find higher and lower interest rates from different institutions, but usually they will all respond in some way to changes in Federal Reserve targets. Typically, interest rates are raised in strong economies to manage excessiveness and lowered in declining economies to encourage spending.

When interest rates increase or decrease, the value of stock prices can be indirectly affected as well. For example, if interest rates are increased, the interest rate on mortgages for prospective home buyers will be higher. In turn, monthly mortgage payments will also be higher. When people have higher mortgage payments, they also have less discretionary income to spend, which can impact the sales and revenues of businesses that are publicly traded in the stock market. In turn, of course, the value of their stock and your portfolio can decline.

- **During bear markets.** A “bear market” is a term commonly mentioned when the stock market is being discussed. Basically, during bear markets, stock prices are in decline, and this makes investors nervous. (The name literally makes me think of bears hibernating in caves; the economy is just hibernating, too!) A bear market usually goes hand in hand with a flat or declining economy. Often, investors see these declining prices, panic, and sell their stocks, often at a loss, because they're afraid of further declines. Panicking, however, is not a good idea, especially when you have time on your side and can weather the storm. In fact, a bear market could present great opportunities to buy stocks that are undervalued. In other words, it could be described as “the stock market on sale,” because when stock prices are lower, you can buy them for cheaper. A bear market is a great time to revisit your financial objectives and make sure they're right for you.
- **During bull markets.** This is another commonly mentioned term. If a bear market is hibernating, a bull market is charging. During bull markets, stock prices rise, investors gain confidence because their